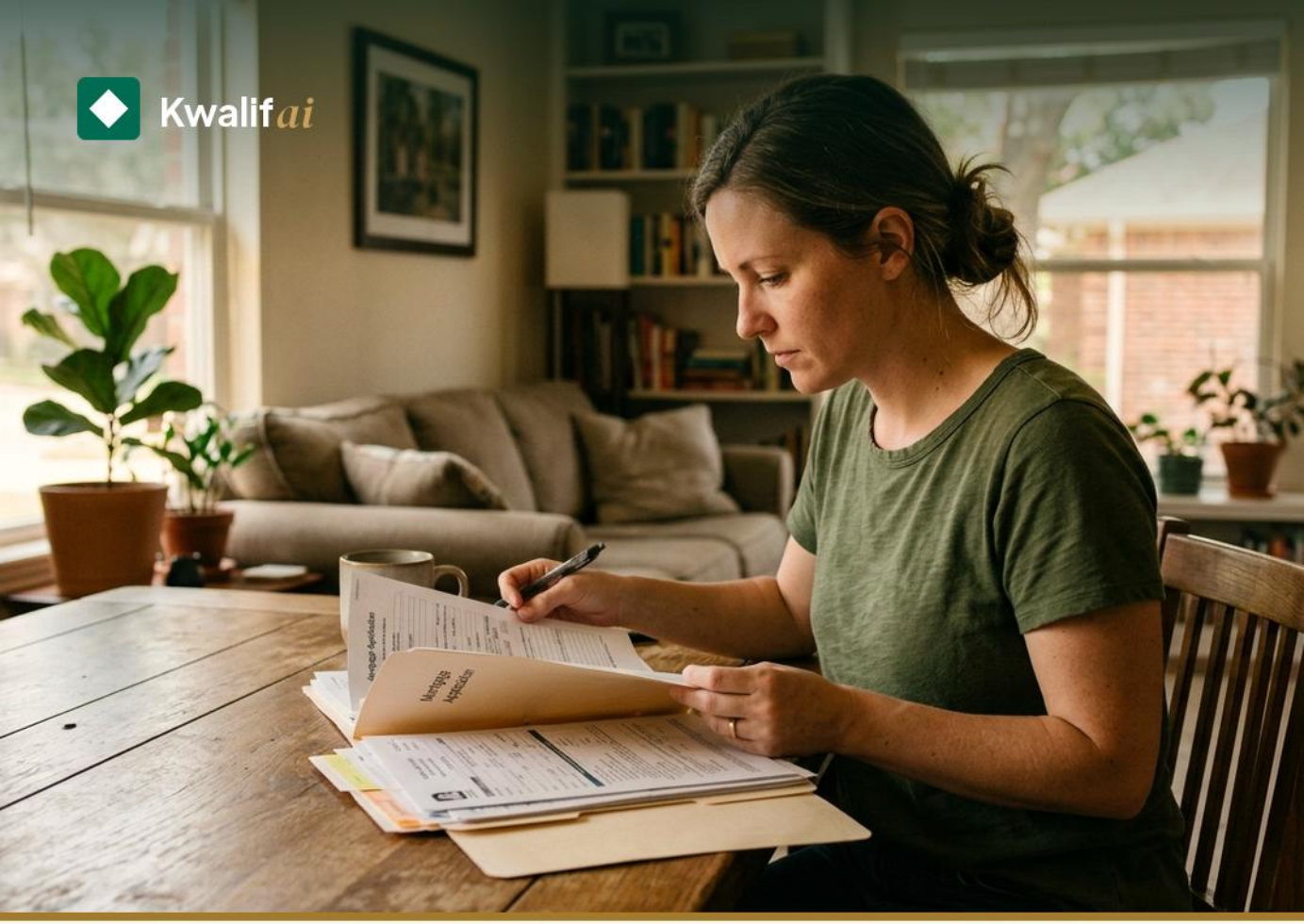
Kwalifai



MORTGAGE DICTIONARY

Six terms *lenders assume you know.*

Swipe

PITI

02

Principal, interest, *taxes, insurance.*

The four parts of a monthly mortgage payment. It's the true picture of your housing cost, beyond the loan repayment alone.



PRE-QUAL VS PRE-APPROVAL

03

An estimate *vs. a verified file.*

Pre-qualification is an estimate based on what you report. Pre-approval is a conditional commitment based on verified documents, and it carries more weight with sellers.

PMI

04

Private mortgage *insurance.*

Usually required on conventional loans with less than 20% down. It lets you buy with a smaller down payment, but adds to your monthly cost until you reach about 20% equity.

RATE LOCK

05

Your rate, *held for a set time.*

A lender's guarantee that your rate won't change for a set period while the loan is processed. It protects you from market swings between application and closing.



RATE BUYDOWN

06

Pay now, *pay less monthly.*

Points paid upfront by the buyer, seller or builder to lower the rate, for a few years or the life of the loan.

ILLUSTRATIVE

Example: 2 points on $380K cost $7,600 and save about $126 a month. Break-even is about 5 years.

RECORDING FEES

07

Set by the county, *not the lender.*

Charges to enter your deed and mortgage in the public record, listed in Section E. They should match no matter which lender or title company you use.



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Use it at every table.

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